

Part 3 of Question 4

7 Cures for a Lean Purse

The chapter titled "The Seven Cures for a Lean Purse" in *The Richest Man in Babylon* gives us seven principles for achieving financial success. I found it useful since the lessons can be used in my personal life. The first remedy, "Begin by putting money aside," tells me that I should save part of any money I get rather than spending all of it. When reading this, a rule came to mind, The "30,30, 20, 20" rule, where you give 30% of your salary to savings, thirty (30) to bills, twenty (20) towards your investments, and finally twenty (20) percent towards personal spending. This is a rule that resonated with me and could also work. The second remedy, "Control your spending," tells me to distinguish between my necessities and my wants and to draw up a budget. From these two lessons, I have learned that the management of money begins with discipline and having a general idea of your budget.

The third remedy, "Make thy gold multiply," states that money which has been saved can be used to earn even more money; in other words, the saved money can be used to invest. The fourth remedy, "Guard thy treasures from loss," makes me realize that I should understand the risks before investing my money. The fifth of the cures stresses the idea of making a home a useful investment, whereas the sixth explains the importance of preparing financially for the future. It was these lessons that caused me to understand the need to consider my long-term financial goals rather than merely concentrating on my present needs.

The seventh remedy, 'Increase thy ability to earn', attracted my attention since it is directly connected with my education. If I improve my knowledge and skills, then I will be able to enhance my future opportunities. The most important thing I've learned in this chapter is that achieving financial success is not simply a matter of earning more money but also involves the way in which I manage and increase the money that I already have; I can put these lessons into practice by saving regularly, keeping careful control over my spending, gaining a better understanding of investing, and always working on improving my skills.

Five Laws of Gold

The book known as “The Five Laws of Gold” states that possessing money is not sufficient; one must have the necessary knowledge and discipline in order to manage it wisely. Nomasir is given a bag of gold and a tablet with the five laws by his father, but he ends up losing his money because of bad investments and by placing trust in people who are inexperienced. Later on, having learned from his errors, he starts to save, invests with care, and seeks advice from those who have knowledge about money. The five rules stress the importance of setting aside one-tenth of your income, getting your money to work for you, guarding your money by following sound advice, avoiding any investments that you do not understand, and staying clear of schemes that promise unrealistic returns.

The key point of the chapter is that wisdom is more valuable than money since money can be quickly lost if one doesn't have the proper knowledge; Nomasir finally becomes rich by putting into practice the lessons he had learned from his mistakes.

Complete List of Assets

Asset	Specification
Font	Bookman Old Style, serif
Student Profile Photo	204 x 204
My Hero Image	100 x 133.28
Background Color	White, Light Pink, Beige
Font Color	Black, dark pink, light pink

GitHub Repository Link: <https://github.com/K-cyber-eng/IA-01-2303866>

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